Ch.4 Q.1 solution

Normally the spouse with the lower income would claim the medical expenses because the 3% reduction would be smaller. The lower net income is Mrs. Unhealthy but she has no income and therefore no use for the medical expense credit. In order to receive the credit for the medical expenses, Mr. Unhealthy must claim them

If we treat each year independantly:

2023

Medical expenses for self, spouse, and dependant children:		1485
deduct: lesser of:		
a) maximum reduction	2635	
b) 3% of net income (3% x $55,000)	1650	1650
medical expenses allowed		0
rate		0.15
federal tax credit for medical expenses		0

2024

Medical expenses for self, spouse, and dependant children:		6875
deduct: lesser of:		
a) maximum reduction	2759	
b) 3% of net income (3% x $55,000)	1650	1650
medical expenses allowed		5225
rate:		0.15
federal tax credit for medical expenses		783.75

But if we were to use the medical expenses incurred over a 12 month period ending in 2023 (June 2022 to May 2023):

2024

Medical expenses for self, spouse, and dependant children (June 2023-May 2024)		8325
deduct: lesser of:		
a) maximum reduction	2759	
b) 3% of net income (3% x $55,000)	1650	1650
medical expenses allowed		6675
rate		0.15
federal tax credit for medical expenses		1001.25

The 8325 comes from:

Jun-23	1150
Jul-23	300
Feb-24	2550
March 20234(1500 + 1200)	2700
May 2024 (500+200+125+800)	1625
	8325

Reccommendation:

Claim medical expenses over the June 2023 to May 2024 period